

Overview of Key Digital Trends

Trend	Description
Digital Financial Ecosystems of Tech Giants	▪ Chinese tech giants (Ant Financial, Tencent) launched into financial services via digital payments, which built significant user bases in their ecosystem ▪ Evolved into all-in-one financial platforms – now offering online fund distribution where firms can sell their funds directly to the tech giant's users ▪ Leverages tech giants' scale, user base, product suites and ease-of-access
The Rise of Digital Fund Marketing	▪ Foreign fund managers are increasing their China branding activity online ▪ Opportunity to provide investor education and market views (e.g. via WeChat) before being able to launch a wholly-owned mutual fund in China ▪ Online channels cut costs and reach previously unreachable clients
COVID-Induced Digital Acceleration	▪ COVID lockdowns accelerated the digital transformation of wealth management, with online workshops and increased online platform inflows ▪ The largest fund managers in China are now using online platforms to sell their funds directly to the platform's users
Continued Pan-Regional Digitisation	▪ Continued regional digitisation is creating cost and time efficiencies, with greater consumer surplus allowing for greater retail investor participation ▪ Increased penetration of the Internet is further extending investor reach ▪ Improved access due to lower minimum investment amounts ▪ Better awareness of fund offerings due to easy-to-use interfaces

Commentary

The Sales & Marketing team can leverage key digital trends in regional fund management by:

- Integrate with the tech giants' all-in-one financial platforms to better engage Chinese investors
- Utilise digital marketing channels such as WeChat to increase brand awareness
- Engage with potential clients by offering market views and investor education

Sample model answer suggestions derived from the reports / articles provided

To more effectively access the significant user bases of the tech giants

To more effectively connect with investors through a digital means they use regularly

To better position the firm's brand within the region by offering valuable information